

Paradiem

The Morning Brief

AUGUST 18, 2026

Duration Stress

30-year Treasury yield tops 5.31% (highest since 2007) as oil pushes above \$91 and the US-Iran MoU expires; Tuesday opens with Home Depot pre-open, Industrial Production 9:15, and KEYS/TOL after the bell.

S&P 500 (MON)	30Y YIELD (MON)	WTI (USO MON)	BITCOIN (IBIT MON)	F&G (CRYPTO MON)
\$772.67 · ↓0.47%	~5.31% · Highest since 2007	\$130.29 · ↑2.91%	\$36.42 · ↑2.22%	41 · Fear

SECTION 01

Markets — Long-Bond Stress Anchors the Tuesday Open as Oil Compounds the Inflation Signal

30-YEAR YIELD AT A 19-YEAR HIGH REFRAMES THE DURATION TRADE

Per Reuters and CNBC coverage of Monday’s Treasury complex, the 30-year yield closed at approximately 5.31% — the highest since July 2007. Per data drop, TLT closed ↓0.84% at \$81.35 alongside SPY ↓0.47% at \$772.67, DIA ↓0.49% at \$534.19, QQQ ↓0.16% at \$729.87, and the Russell 2000 ↓0.34% at \$304.06. Per data drop, USO closed ↑2.91% at \$130.29 and BNO closed ↑2.63% at \$51.97 — the crude bid stacking against a long end already carrying sticky August one-year inflation expectations of 4.3% preliminary per University of Michigan release coverage. The composition — long end stressed, equities modestly softer, energy leading — reads through the FCI dividend sleeve where higher-duration positioning (NEE flat at \$86.22, ATO essentially flat at \$169.90, CEG ↓1.52% at \$278.20 per data drop) sits directly in the crosshairs of a term-premium re-pricing that Chair Warsh has signaled per July 29 press-conference framing he will not preempt.

30Y YIELD (MON)	~5.31% · Highest since Jul 2007
TLT (20Y MON)	\$81.35 · ↓0.84%
USO (WTI MON)	\$130.29 · ↑2.91%
HOME DEPOT Q2	Pre-Open Tue · ~\$4.71 EPS est
INDUSTRIAL PRODUCTION	Tue 9:15 AM ET per FRB G.17
FOMC MINUTES	Wed 2:00 PM ET

SECTOR COMPOSITION READS BOND STRESS, NOT GROWTH PANIC

Per data drop, the Monday sector tape sorted cleanly along the rate-sensitive axis: XLE led at ↑1.08%, XLK held at

↑0.16%, and everything else finished red. XLC lagged at ↓1.89%, XLP at ↓1.64%, XLY at ↓1.23%, XLF at ↓1.00%, and XLRE at ↓0.97%. The pattern — mega-cap comm services and staples softest, discretionary and real estate weak, tech basically flat, energy up — is consistent with a duration event rather than a growth event. Per data drop, the AI memory complex carried the tape idiosyncratically: CRDO closed ↑8.82% at \$282.82, MRVL ↑5.54% at \$234.33, and LRCX ↑3.45% at \$343.84. Per Benzinga and ChartMill coverage of Monday’s memory-complex bid, the SanDisk and Micron gains cited on the day tied through hyperscaler memory-controller and retimer demand into Blackwell ramps. Per data

drop, NOW closed ↓5.08% at \$117.70 — the widest FCI growth-sleeve mark Monday, and a reminder that pure-play software carries the highest duration profile in the sleeve when term-premium re-pricing accelerates.

TUESDAY SEQUENCE: HD PRE-OPEN, IP 9:15, KEYS & TOL AFTER BELL

The Tuesday cash session opens with a stacked catalyst window. Per FRB G.17 release schedule, July Industrial Production and Capacity Utilization publish at 9:15 AM ET. Per Home Depot IR coverage cited on Kiplinger and Yahoo Finance, HD reports before the open with consensus roughly \$4.71 EPS on \$47.5B revenue; per the company's August 12 statement, Chair/CEO Ted Decker is on temporary medical

leave with SEVP Ann-Marie Campbell overseeing day-to-day operations and CFO Richard McPhail overseeing financial management. Per data drop, Keysight Technologies (KEYS Est. ~\$2.52) and Toll Brothers (TOL Est. ~\$2.94) report Tuesday — both FCI growth-sleeve names; KEYS closed ↑0.93% at \$361.15 and TOL closed ↓1.90% at \$145.45 into the print per data drop. Per Federal Register coverage cited by Kiplinger and Yahoo Finance, new Section 338 duties of 50% on a list of Canadian goods take effect Wednesday August 19 — making HD's forward tariff pass-through commentary the most consequential element of the Tuesday morning docket. Per data drop, the discretionary-adjacent dividend read (FAST ↑0.41% at \$51.23, GPC ↓1.86% at \$132.52, PCAR flat at \$130.84) carries the sleeve-level read-through.

A term-premium re-pricing tends to sort the tape along duration lines faster than growth ones.
Simplicity Over Complexity.

SECTION 02

Geopolitics — US-Iran MoU Expires Monday With Bessent Detail Now Imminent

60-DAY MEMORANDUM OF UNDERSTANDING LAPSES; ISOLATION PACKAGE DETAIL DUE THIS WEEK

Per CNN, Al Jazeera, and Reuters coverage of the Monday deadline, the 60-day US-Iran memorandum of understanding signed in June expired August 17 without a successor agreement or a mutually consented extension. Per CBS News, Washington Post, and CNN coverage of Monday statements, President Trump rejected extending the MoU absent broader terms and warned Oman that any move to circumvent the US naval blockade at Hormuz would prompt US military action. Per Fortune, Bloomberg, and Iran International coverage of Secretary Bessent's Newsmax and weekend statements, the Treasury isolation package characterized as unprecedented in scope for the economic isolation of a state actor is expected in detail this trading week (Aug 17–21) as part of what Bessent described as a one-two punch alongside the standing blockade. Per Bloomberg and Fortune previews, the operative variable remains the secondary-sanction perimeter around Shandong-based Chinese “teapot” refiners and the marine-insurance and reinsurance channels — not the aggregate sanction count. Per Al Jazeera May coverage, Beijing invoked its Blocking Rules for the first time against five refineries when earlier US measures landed; per OFAC alert language cited by the Treasury Department, teapot-refinery sanction risk has been publicly flagged since April 2026.

HORMUZ TRAFFIC IN SINGLE DIGITS; UKMTO REPORTS VESSEL STRIKE MONDAY

Per Reuters and UKMTO coverage of the Monday incident, a further vessel transiting the Strait of Hormuz was struck by an unidentified projectile with at least one crew casualty reported — a continuation of the pattern that began with the ADNOC vessel attacks August 13–14. Per Reuters shipping-

tracking coverage, Hormuz crossings rose slightly from the weekend but remained in single digits against the roughly 130 daily transits recorded before the conflict. Per data drop, the crude tape carried the friction read: USO ↑2.91% at \$130.29, BNO ↑2.63% at \$51.97, CVX ↑1.35% at \$202.70, OKE ↑0.35% at \$95.32 and CNX ↓1.06% at \$35.34. Per Reuters coverage cited in the data drop headlines, the crude complex is

beginning to price a prolonged Hormuz crisis rather than a discrete event. The FCI energy sleeve (CVX, CNX, OKE) continues to carry the physical-friction floor into the Bessent detail window. Per data drop, the defense sleeve moved counter-intuitively Monday with LMT closing ↓2.45% at \$593.74 and GD ↓1.17% at \$391.14 — a read consistent with long-duration multiple compression on the long-end selloff rather than a reduction in the enforcement-posture bid.

UKRAINE EXTENDS REFINERY CAMPAIGN OVERNIGHT INTO YAROSLAVL AND BASHKORTOSTAN

Per ABC News, PBS News, and Kyiv Independent coverage of President Zelensky's Monday statement, Ukrainian long-range strikes hit the Bashneft-Novoil refinery in Bashkortostan (roughly 800 miles from Ukraine) and the Slavneft-Yanos refinery in the Yaroslavl region (roughly 435 miles from Ukraine) overnight into Monday. Per PBS News coverage,

Yaroslavl is one of Russia's largest refineries with reported processing capacity near 15 million metric tons per year (roughly 300,000 bpd). Per Reuters coverage of Chinese fuel exports cited in the data drop headlines, Chinese refined-product exports have begun edging back toward pre-war levels as Beijing eases restrictions — a compensating flow that reduces global product-spread pressure at the margin but does not reverse the crude-side friction. The compound read — Middle East crude friction alongside Russian refinery capacity destruction — has widened crack spreads through August per Reuters and Bloomberg coverage cited in prior briefs. For FCI, the energy sleeve continues to absorb both vectors; per data drop, the digital-asset ETF sleeve (IBIT ↑2.22% at \$36.42, ETHA ↑1.55% at \$14.40) participated in Monday's rate-off-adjacent risk bid alongside the bitcoin miner names (MARA ↑5.60%, HUT ↑3.04%).

SECTION 03

On Our Radar

1. Tuesday Sequence — HD Pre-Open, IP 9:15, KEYS & TOL After Bell, Section 338 Canadian Duties Wednesday. Per FRB G.17 release schedule, July Industrial Production and Capacity Utilization publish at 9:15 AM ET Tuesday. Per Home Depot IR coverage cited on Kiplinger and Yahoo Finance, HD reports pre-open with consensus roughly \$4.71 EPS on \$47.5B revenue; per the company's August 12 statement, Chair/CEO Ted Decker is on temporary medical leave with SEVP Ann-Marie Campbell overseeing day-to-day operations and CFO Richard McPhail overseeing financial management. Per data drop, KEYS (Est. ~\$2.52) and TOL (Est. ~\$2.94) report Tuesday — both FCI growth-sleeve names, closing ↑0.93% at \$361.15 and ↓1.90% at \$145.45 respectively into the print. Per Federal Register coverage cited by Kiplinger and Yahoo Finance, new Section 338 duties of 50% on a list of Canadian goods take effect Wednesday August 19 — making HD's forward tariff pass-through commentary the most consequential element of the Tuesday morning docket.

2. Bessent Detail Rollout — The Chinese Teapot-Refiner Perimeter Is the Read.

Per Iran International, Fortune, and Bloomberg coverage of Secretary Bessent's Newsmax and weekend statements, the isolation package described as measures the world has never seen in the history of economic isolation is expected in detail this trading week (Aug 17–21) as part of a one-two punch with the naval blockade. Per Bloomberg and Fortune previews and OFAC alert language cited by the Treasury Department, the operative variable remains the secondary-sanction perimeter around Shandong teapot refiners and the marine-insurance/reinsurance channels rather than the aggregate sanction count. Per Al Jazeera May coverage, Beijing has previously invoked its Blocking Rules against US measures targeting teapot refineries — a package that widens the perimeter tends to firm the physical-friction floor under crude; a package that reads narrower may compress it. Per data drop, the FCI energy expression (CVX ↑1.35%, OKE ↑0.35%, CNX ↓1.06%) carries the Day 2 rollout window.

3. NOW ↓5.08% — Duration Compression Sorts the

Software Leaders Fastest. Per data drop, ServiceNow closed ↓5.08% at \$117.70 Monday — the widest FCI growth-sleeve mark on the day. The move ties directly to the 30-year yield print near 5.31% and the term-premium re-pricing: pure-play software carries the highest duration profile in the sleeve, and long-end stress tends to compress that multiple faster than it compresses the AI-hardware complex. Per data drop, NVDA closed essentially flat at \$225.01, TSM ↑1.08% at \$430.97, and AMD ↓1.63% at \$506.00 — the hardware layer largely absorbed the rate stress that the software layer amplified. The compositional read for FCI is that the physical-AI-infrastructure thesis (CRDO ↑8.82%, MRVL ↑5.54%, LRCX ↑3.45%) tends to hold up better than the pure-software layer when term premium re-prices.

4. AI Memory Complex Extends — CRDO ↑8.82%, MRVL ↑5.54%, LRCX ↑3.45%. Per Benzinga and ChartMill coverage of Monday's tape, SanDisk (SNDK) ↑10% and Micron ↑6% cited on the day tied through hyperscaler retimer and memory-controller demand into Blackwell ramps; the read benefits CRDO's PAM4 SerDes and retimer business, MRVL's custom-silicon and DPU complex, and LRCX's memory-capex exposure. Per Intellectia coverage, NVDA's fiscal Q2 print Wednesday August 26 carries sell-side consensus at roughly \$92B revenue with previews pointing to \$93–95B on strong data-center growth; per Yahoo Finance coverage of Bank of America's preview, a re-rate toward \$107–108B next-quarter guidance would extend the sleeve read. For FCI, CRDO, MRVL, LRCX, TSM, and NVDA sit at the physical-AI-infrastructure intersection the sleeve is built around.

5. Digital Assets Catch the Rate-Off Bid — IBIT ↑2.22%,

ETHA ↑1.55%, MARA ↑5.60%, HUT ↑3.04%. Per data drop, IBIT closed ↑2.22% at \$36.42 and ETHA closed ↑1.55% at \$14.40 Monday — a reversal of the Friday ETF-flow miss pattern. Per Sunday Guardian coverage of the Monday-into-Tuesday tape, Bitcoin traded back above \$64,000 with roughly ↑2.2% over 24 hours. Per 24/7 Wall St. coverage, spot Bitcoin ETFs saw the largest weekly outflow in six weeks the prior week (roughly \$390M net across five sessions) — Monday's move reads as flow returning to the sleeve. Per data drop, the bitcoin miner complex (MARA ↑5.60% at \$9.71, HUT ↑3.04% at \$88.04) participated alongside — a hashrate-economics read that ties to the physical-infrastructure thesis through the HPC pivot noted in SeekingAlpha coverage of HUT's contract extensions.

6. Carson's SPY \$645.80 Support Remains Active; No

Levels Hit Monday. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Monday's \$772.51–\$776.77 SPY intraday range per data drop and now sits approximately 16.4% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With the Bessent detail rollout expected mid-week, Industrial Production Tuesday, HD/TGT/LOW/WMT retailer sequence Tuesday–Thursday, KEYS and TOL Tuesday, FOMC minutes Wednesday, NVDA reporting Wednesday August 26, and Jackson Hole Aug 27–29, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) frames reactive positioning against any single-session gap through the sequence. The data drop F&G of 41 “Fear” reflects the CNN endpoint falling back to the crypto index; per CNN coverage cited in prior briefs, the CNN stock-market F&G held in the Greed zone through Monday.

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